UNIT 1

ACCOUNTS FROM INCOMPLETE RECORDS

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Points to recall

The following points are to be recalled before learning accounts from incomplete records:

- Double entry system and its principles
- Types of accounts and rules of accounting
- Final accounts
- Treatment of adjustments such as bad debts, provision for bad and doubtful debts, depreciation, etc., in final accounts under double entry system.

Learning objectives

To enable the students to

- Understand the features and limitations of incomplete records
- Prepare statement of affairs and calculate profit or loss from incomplete records
- Prepare final accounts from incomplete records

Key terms to know

- Incomplete records
- Statement of affairs
- Total debtors account
- Total creditors account

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